

Utz Brands Inc. (UTZ) – Short Pitch

Recommendation

I recommend shorting **Utz Brands Inc. (UTZ)** because the market is still pricing in margin recovery and successful national expansion, while the company's fundamentals suggest earnings expectations are too optimistic. UTZ operates in a mature, low-margin packaged snacks category where input costs, pricing power, and distribution efficiency matter more than revenue growth. With organic sales growth still weak, cost pressures elevated, and pricing power limited, I believe margin expansion will disappoint over the next **6–12 months**. At approximately **\$7.60 per share**, I see downside to around **\$4–\$5 per share**, implying roughly **35–50% downside**.

Company Background

Utz is a U.S. salty snack company with approximately **\$1.4B in revenue**, with around **89% coming from branded products**. The company has historically been a Northeast regional player and is now trying to become a broader national snack brand through distribution expansion and supply chain optimization. While UTZ has brand recognition, roughly **50% household penetration**, and over 100 years of operating history, it competes in a mature and highly competitive category against larger players with stronger scale, broader distribution, and better shelf power.

Investment Thesis

The short thesis is that UTZ is being valued like a business that can expand margins and grow nationally, but the current fundamentals do not support that expectation. The company's recent organic sales growth of approximately **-2.4%** suggests demand is already weak, making it harder for UTZ to push price increases without hurting volume. In a price-sensitive snack category, consumers can easily switch to private label, healthier alternatives, or larger brands with better promotional support.

The key issue is margin pressure. UTZ has historically operated with low operating margins of roughly **1–3%**, and the market is assuming improvement from supply chain savings and better scale. However, elevated input costs, labor, freight, and promotional spending make that margin recovery difficult. If UTZ cannot pass through higher costs without losing volume, EBITDA growth will disappoint and the stock should re-rate lower.

The second issue is national expansion risk. UTZ is trying to move from a regional brand into a national competitor, but that requires higher spending on distribution, marketing, and shelf

placement. Larger competitors already have stronger relationships with retailers and more efficient supply chains. If expansion does not translate into stronger organic sales growth, investors will begin to view UTZ as a structurally lower-margin snack business rather than a successful national growth story.

Catalysts

The main catalyst over the next **6–12 months** is earnings disappointment from weaker margins and soft organic sales. If UTZ reports continued cost pressure, limited pricing power, or another period of weak organic growth, consensus estimates will likely move lower.

A second catalyst is slower-than-expected progress from national expansion. If UTZ continues spending to grow outside its core markets but fails to generate meaningful organic sales acceleration, the market will question whether the expansion strategy can create real shareholder value.

A third catalyst is evidence that margin expansion is not flowing through despite supply chain optimization. The company has reduced its plant count from **16 to 7**, but if those efficiency gains are offset by input costs, labor, freight, or promotional pressure, the market's margin recovery thesis weakens.

Valuation

UTZ should be valued using **EV/EBITDA and P/E**, not EV/Revenue. Revenue is not the main value driver for a mature CPG company. In packaged snacks, two companies can have similar revenue but very different values depending on margins, pricing power, input cost exposure, and distribution efficiency. Since this short thesis is based on margin pressure and earnings disappointment, profitability-based multiples are the most relevant.

Although UTZ may appear reasonable on headline multiples, those multiples rely on the assumption that margins improve toward peer levels. If margins remain structurally below peers because of cost pressure and weak pricing power, UTZ deserves a lower multiple. Under this scenario, I believe the stock can trade closer to **\$4–\$5 per share**, representing roughly **35–50% downside** from the current price of around **\$7.60**.

Risks

The main risk to the short thesis is that UTZ's supply chain optimization works better than expected. The company has reduced its plant count from **16 to 7**, and if those efficiency gains flow through faster than expected, EBITDA margins could improve and support the stock.

Another risk is that geographic expansion performs better than expected. If UTZ gains share in new markets and organic sales growth accelerates, the market may continue giving the company credit for a national growth story.

However, given weak organic sales growth, limited pricing power, and ongoing cost pressure, I believe the risk/reward still favors the short. UTZ needs clear margin expansion to justify its valuation, and the evidence so far suggests that recovery is not guaranteed.